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WASHINGTON, D.C. 20250

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1. PURPOSE

This Departmental Regulation (DR) prescribes accounting standards, policies, and procedures to be used to obtain uniform and reliable financial control over property, plant, and equipment (PP&E) at the United States Department of Agriculture (USDA).

2. SCOPE

The PP&E accounting standards, policies, and procedures are applicable to all agencies, staff offices, and the [Working Capital Fund \(WCF\)](#).

3. SPECIAL INSTRUCTIONS/CANCELLATIONS

This regulation supersedes DR 2200-002, *Property, Plant, and Equipment*, dated April 2, 2013.

4. POLICY

a. Real Property

Real Property includes: land and interest in land; buildings; other structures; additions to buildings; non-structural improvements; and fixed equipment.

- (1) The agency or staff office Head will establish criteria for the control, security, valuation, supporting documentation, and tracking of real property, in accordance with the [Agriculture Property Management Regulations \(AgPMR\)](#).
- (2) The agency or staff office Head will capitalize in its accounting records, a tangible real property asset as follows:
 - (a) All land and interest in land, regardless of value, cost, or purchase price;
 - (b) All other real property assets when their useful life is:
 - 1 2 or more years; and
 - 2 Acquisitions cost or established value, if donated, constructed, or obtained through other agency or staff office activities, is \$25,000 or greater; or
 - (c) Any major improvement or betterment of an existing capitalized asset, when:
 - 1 The criteria in Section 4a(2)(b) are met; and
 - 2 The asset's value is increased; or
 - 3 Its useful life is extended.

b. Personal Property

Personal Property includes: equipment; furniture and fixtures; motor vehicles; aircraft; hardware; and internal use software (IUS).

- (1) The agency or staff office Head will establish criteria for the control, security, valuation, supporting documentation, and tracking of personal property in accordance with the AgPMR.
- (2) The agency or staff office Head will capitalize in its accounting records each individual tangible component of personal property, as tracked in the Corporate Property Automated Information System (CPAIS) – Personal Property, or other secondary personal property tracking system, when the following criteria are met:
 - (a) Useful life is 2 or more years; and

- (b) Acquisition cost or established value if donated, constructed, information technology (IT) configured or obtained through agency or staff office activities is \$25,000 or greater, except for IUS which is \$100,000 or greater.
- (3) Agency and staff office Heads may issue written directions to capitalize the acquisition of personal property with a cost or value of less than \$25,000 or for IUS less than \$100,000 in the following situations:
 - (a) Current costs would be materially distorted in a given reporting period by charging to expense the acquisition of a large quantity of components that individually do not meet the capitalization threshold criteria in Section 4b(2).

Such items may be grouped in a separate asset group account and capitalized;

- (b) The component is procured and controlled within a WCF activity; or
 - (c) Specifically authorized in writing by the Chief Financial Officer.
- c. Classification of property

Personal and real property can be capitalized and accountable; non-capitalized and accountable (which includes sensitive personal property); or non-capitalized and non-accountable.

d. Recognition, Depreciation and Amortization of General PP&E (G-PP&E)

- (1) Depreciation and amortization are the rational and systematic method of allocating the cost of an asset over its estimated useful life. Included in Appendix D, *USDA Estimated Useful Life Range for General PP&E Assets*, is a range of the estimated average life for common types of capitalized assets. USDA uses the straight-line method of depreciation or amortization with no salvage value. Depreciation starts when the asset is placed in service and ends when the assets basis reaches zero. Amortization of IUS begins when the software has been successfully tested. However, if the IUS is a module that is dependent upon completion of other modules, the amortization of that module should begin when both that module and the other modules have successfully completed testing.

For example, if equipment is purchased for \$50,000 and its estimated useful life is 5 years then:

Table 1 – Calculation of Depreciation for G-PP&E

Cost of Asset	Depreciation
Cost of Asset divided by Estimated Useful Life = Depreciation	\$50,000 divided by 5 years = \$10,000 Depreciation per year

PP&E is considered placed in service when it is first available for service or use, even if it was not used immediately.

For example, if a machine is acquired in January, but was not placed in use until August, depreciation starts in January.

PP&E is considered retired from service when it is transferred from a program office to the property office responsible for disposing Federal property.

- (2) Capitalized real and personal property will be depreciated over the asset's estimated useful life. Land is not depreciated.
- (3) The full cost to construct an asset (e.g., a building, IUS), must be recorded as construction-in-progress or IUS in development until the asset is completed and available for use. When the building or IUS are available for use, the balance in the in-progress or in-development account must be transferred to the appropriate G-PP&E account.
- (4) The agency or staff office Head will report depreciation expenses for real and personal property in their financial statements.
- (5) Any changes in estimated useful life must be treated prospectively. The change must be accounted for in the period of the change and future periods. No adjustments must be made to previously recorded depreciation or amortization.

e. Year-end Purchases

- (1) PP&E must be recognized by USDA when:
 - (a) Title passes; or
 - (b) Upon delivery. Delivery or constructive delivery must be based on the terms of the contract regarding shipping or delivery.

For example, if an order is placed with a vendor on September 29, 2016. That order is not delivered until October 5, 2016.

In the above example, title passed when delivered to USDA in fiscal year 2017, not 2016. Therefore, USDA personnel must use the PP&E capitalization threshold in effect for fiscal year 2017.

- (2) PP&E acquired by a contractor on behalf of USDA (i.e., USDA will ultimately hold title to the PP&E), must be recognized upon delivery or constructive delivery, whether to the contractor for use in performing contract services, or to USDA.

f. Leases

(1) Classification

- (a) A lease is an agreement conveying the right to use property, plant, or equipment (land or depreciable assets or both) usually for a stated period of time. For accounting and reporting purposes, there are two alternatives in classifying a lease:
 - 1 Operating; or
 - 2 Capital.
- (b) The proper classification of a lease is determined by the circumstances surrounding the transaction. According to The Federal Accounting Standards Advisory Board (FASAB), Statement of Federal Financial Accounting Standards ([SFFAS\) Number 6](#), *Accounting for Property, Plant, and Equipment*, if substantially all of the benefits and risks of ownership have been transferred to the lessee, the lease should be recorded as a capital lease. Otherwise, the lease should be recorded as an operating lease.

Substantially all the risks or benefits of ownership are deemed to have been transferred if any one of the following criteria has been met:

- 1 The lease transfers ownership to the lessee by the end of the lease term;
- 2 The lease contains a written bargain purchase option;
- 3 The lease term is equal to 75% or more of the estimated economic life of the leased property, and the beginning of the lease term does not fall within the last 25% of the total economic life of the leased property; or
- 4 The present value (PV) of the minimum lease payments at the beginning of the lease term is 90% or more of the fair value to the lessor, less any investment credit by the lessor. This requirement cannot be used if the lease's inception is in the last 25% of the useful economic life of the leased asset. The interest rate used to compute the PV should be the

incremental borrowing rate of the lessee, unless the implicit rate is available and lower.

(2) Amortization

- (a) If the lease transaction meets the ownership and written bargain purchase criteria in Sections 4f(1)(b)1 or 2, then the asset arising from the transaction is to be amortized over the estimated useful life of the leased property.
- (b) If the transaction qualifies as a capital lease because it met either the 75% of useful life or 90% of fair value to lessor criteria in Sections 4f(1)(b)3 or 4, the asset must be amortized over the lease term.

Table 2 – Amortization Period

If ...	Then ...
Ownership transfers	Amortize over asset life
Written bargain purchase option	Amortize over asset life
90% of fair value to lessor	Amortize over lease life
75% of the estimated economic life	Amortize over lease life

g. Leasehold Improvements

- (1) Leasehold improvements represent physical enhancements made to property by or on behalf of the property's lessee. The lessee's interest in the improvement is an intangible right to use and benefit from during the term of the lease. When allocating the cost of leasehold improvements to the periods benefited, the expense is referred to as amortization (as used in amortization of intangibles), not depreciation.
- (2) Leasehold improvements in the form of buildings or structural alterations are sometimes made on leased property or on interests in real property. Such interests in real property may include rights-of-way, permits, use agreements, water rights, or easements. Additionally, the cost of all leasehold improvements (e.g., carpeting, partitions, soundproofing of ceilings and walls) that have a useful life greater than 2 years must be capitalized.
- (3) The amortization of leasehold improvements is the lesser of the life of the improvement or the remaining term of the lease.

h. Donated Property

Donations should be recorded at the fair value on the date of receipt plus any costs incurred to place the donated item(s) in service. Such costs include title search or recording, shipping, installation, and rearrangement.

i. Loaned Property

Personal property loaned or furnished to others must be accounted for in the Department's Property Management Information System.

j. Heritage Assets and Stewardship Land

(1) Heritage Assets

- (a) Heritage assets are property, plant, and equipment that are unique for one or more of the following reasons:

- 1 Historical or natural significance;
- 2 Cultural, educational, or artistic (e.g., aesthetic) importance; or
- 3 Significant architectural characteristics.

- (b) Heritage assets are generally expected to be preserved indefinitely.

(c) Depreciation and Recognition

- 1 The cost of acquiring, improving, reconstructing, or renovating heritage assets, other than multi-use heritage assets, must be expensed in the period in which the cost is incurred. The cost must include all costs incurred during the period to bring the item to its current condition, at its initial location.
- 2 No amounts for heritage assets acquired through donation or devise must be recognized in the cost of heritage assets. The fair value of the asset, if known and material, must be disclosed in the notes to the financial statements in the year received. If fair value is not known or reasonably estimable, information related to the type and quantity of heritage assets received must be disclosed.

(2) Multi-Use Heritage Assets

- (a) A heritage asset must be considered a multi-use heritage asset if the predominant use of the asset is in general Government operations (e.g., the main Treasury building, which is a heritage asset, used as an office building).

(b) Depreciation and Recognition

- 1 The cost of acquisition, betterment, or reconstruction of all multi-use heritage assets must be capitalized as G-PP&E and depreciated over the asset's useful life.
- 2 Multi-use heritage assets acquired through donation or devise must be recognized as G-PP&E at the asset's fair value, and the amount must also be recognized as non-exchange revenues.

(3) Stewardship Land

- (a) Stewardship land is land and land rights owned by the Federal Government and not acquired for or in connection with other G-PP&E. Stewardship land is defined as the solid part of the surface of the earth. Excluded from the definition are materials beneath the surface (e.g., mineral deposits and petroleum), the space above the surface (e.g., timber), and outer-continental shelf resources. Examples of land not associated with other items of G-PP&E include:

- 1 Land used as forests and parks; and
- 2 Land used for wildlife and grazing.

- (b) G-PP&E may be built on existing Federal lands; however, the cost of the land may not be identifiable. In these instances, G-PP&E must include only land or land rights with an identifiable cost that is specifically acquired for or in connection with construction of G-PP&E.

(c) Depreciation and Recognition

- 1 The acquisition cost of stewardship land must be expensed as a cost in the period incurred. The cost must include all costs incurred to bring the PP&E to its current condition and location.
- 2 Any costs to prepare stewardship land for its intended use (e.g., razing a building) must be expensed as part of the cost of stewardship land.
- 3 In some cases, land may be acquired along with existing structures. The following treatments may apply:
 - a If the structure is significant in and of itself, the agency or staff office must use its judgment as to whether the acquisition cost must be treated as the cost of stewardship land, heritage asset, or both;

- b If the structure is to be used in operations (e.g., as G-PP&E), but
 - i. The value of the structure is insignificant as compared to the value of the land;
 - ii. It has little or no inherent value; or
 - iii. It is merely a byproduct of the acquisition of the land, the cost must be treated as an acquisition of stewardship land in its entirety; or
- c Only significant structures, which have a significant operating use, must be treated as G-PP&E by identifying the cost attributable to general PP&E and segregating it from the cost of the stewardship land acquired.

4 No amounts for stewardship land acquired through donation or devise must be recognized as a cost on the statement of net cost. Its fair value, if known and material, must be disclosed in the notes to the statement of net cost. If fair value is not estimable, information related to the type and quantity of assets received must be disclosed in the year received.

5 In some instances, G-PP&E may be transferred to another Federal agency for use as stewardship land. The cost of stewardship land transferred from another Federal agency must be the book value of the land recorded by the transferring agency or staff office for the asset, net of accumulated depreciation or amortization. If the receiving agency or staff office cannot reasonably ascertain the book value, the transfer must be disclosed in the notes, if material.

k. Exchanges

- (1) The cost of assets acquired through exchange will be the fair value of the asset surrendered at the time of exchange.
- (2) If the fair value of the asset acquired is more readily determinable than that of the asset surrendered, the cost will be the fair value of the asset acquired.
- (3) If the fair value is not determinable, the cost of the asset acquired will be the cost recorded for the asset surrendered, net of any accumulated depreciation or amortization.
- (4) Any difference between the net recorded amount of the asset surrendered and the cost of the asset acquired will be recognized as a gain or loss.

l. Partial Impairments

- (1) A loss from impairment should be recognized and reported in the statement of net cost when management concludes that the impairment is:
 - (a) A significant decline in service utility; and
 - (b) Expected to be permanent.
- (2) The impairment loss should be recognized and reported regardless of whether the G-PP&E remaining in use is being depreciated individually or as part of a composite group.
- (3) A general description of the G-PP&E remaining in use for which an impairment loss is recognized, the nature (e.g., damage or obsolescence) and amount of the impairment, and the financial statement classification of the impairment loss should be disclosed in the notes to the financial statements. Such disclosures should be made in the period the impairment loss is recognized.
- (4) Events, changes in circumstances, or asset management reviews might indicate that the future service utility of G-PP&E remaining in use has been adversely affected. However, if future service utility has been adversely affected but the impairment test determines that a loss need not be recognized, a change to the estimates used in depreciation calculations such as estimated useful life and salvage value should be considered.
- (5) G-PP&E that no longer provides service or in the case of construction work in process where there is no expectation of future service by the entity, should be accounted for in accordance with applicable standards.
- (6) If an entity later remediates the previously impaired G-PP&E remaining in use, the costs incurred to replace or restore the lost service utility should be accounted for in accordance with applicable standards.

m. Disposal, Retirement, or Removal of PP&E

- (1) In the period of disposal, retirement, or removal from service, G-PP&E must be removed from the asset accounts along with associated accumulated depreciation or amortization. Any difference between the book value of the PP&E and amounts realized must be recognized as a gain or a loss in the period that the G-PP&E is disposed of, retired, or removed from service.
- (2) G-PP&E must be removed from G-PP&E accounts along with associated accumulated depreciation or amortization, if prior to disposal, retirement, or removal from service, it no longer provides service in the operations of the entity.

This could be either because it has suffered damage, becomes obsolete in advance of expectations, or is identified as excess.

n. Government-Owned and Contractor-Held Property

- (1) Government-Owned and Contractor-Held property used in the performance of a contract may be Government-furnished or contractor-acquired. The physical control and use of such property by non-government sources does not lessen the responsibilities of USDA management to fulfill the legal and financial requirements inherent with the ownership of the property.
- (2) In accordance with this policy, USDA personnel must use available information for recording property transactions and adjusting the appropriate accounts and systems. This information includes such items as shipping and transfer documents, or other source documents prepared for transfers between USDA and its contractors.

o. Cloud Computing

- (1) A cloud computing service is a resource provided over the Internet that has the following essential characteristics: on-demand self-service, broad network access, resource pooling, rapid elasticity, and measured service. The most common cloud service resources are software as a service, platform as a service, and infrastructure as a service.
- (2) If a cloud computing arrangement includes a software license, account for the software license element of the arrangement in accordance with the lease criteria stated in Section 4f(1).
- (3) An entity that develops and owns the software, platform, or infrastructure that is used in a cloud computing arrangement would account for the software development in accordance with FASAB, [SFFAS Number 10](#), *Accounting for Internal Use Software*.

5. ROLES AND RESPONSIBILITIES

a. The Chief Financial Officer will:

- (1) Be responsible for USDA's accounting guidelines; and
- (2) Issue regulations, such as this DR, which prescribe policy and thresholds for capitalization and depreciation of personal and real property, including the authorization for acquisition of personal property with a cost or value of less than \$25,000 or for IUS less than \$100,000.

- b. The Director, Office of Procurement and Environmental Management, will:
 - (1) Be responsible for Property Management; and
 - (2) Issue regulations, such as the AgPMR, which prescribe the authorities, policies, and related Departmental requirements governing property management.
- c. Agency and Staff Office Heads will:
 - (1) Establish criteria for the control, security, valuation, supporting documentation, and tracking of real and personal property in accordance with the AgPMR;
 - (2) Capitalize in its accounting records, tangible real property, and the tangible component of personal property assets per Sections 4a and 4b respectively;
 - (3) Issue written directions to capitalize the acquisition of property per Section 4b(3) requirements; and
 - (4) Report depreciation expenses for real and personal property in their financial statements.

6. INQUIRIES

Agencies and staff offices should direct questions and inquiries regarding this DR to the Office of Chief Financial Officer at apcrd@usda.gov.

-END-

APPENDIX A

ACRONYMS AND ABBREVIATIONS

ADP	Automated Data Processing
AgPMR	Agricultural Property Management Regulations
APMO	Agency Property Management Officer
CPAIS	Corporate Property Automated Information System
DR	Departmental Regulation
FASAB	Federal Accounting Standards Advisory Board
G-PP&E	General Property, Plant, and Equipment
IT	Information Technology
IUS	Internal Use Software
OCFO	Office of the Chief Financial Officer
PP&E	Property, Plant, and Equipment
PV	Present Value
SFFAS	Statement of Federal Financial Accounting Standards
USDA	United States Department of Agriculture
WCF	Working Capital Fund

APPENDIX B

DEFINITIONS

Accountable.

- a. Personal Property: All capital leases (this would exclude operating leases for personal property) and all owned personal property having an acquisition cost of \$5,000 or more, and any item valued at less than \$5,000, but determined by an Agency Property Management Officer (APMO) to be sensitive.
- b. Real Property: All owned real property with an acquisition cost of \$25,000 and above and all leased or assigned real property. The real property capitalization and accountability threshold is \$25,000.

Acquisition Cost. Costs will include all costs incurred to bring the asset to a form and location suitable for its intended use to include: amounts paid to vendors, transportation charges to the point of initial use, handling and storage costs, labor and other direct and indirect production costs, architectural, engineering, and other outside service charges for designs, plans, specifications, and surveys; acquisition and preparation cost of buildings and other facilities; an appropriate share of the cost of the equipment and facilities used in construction work; the cost of fixed equipment and its related installation; legal and recording fees and damage claims, the fair value of facilities and equipment donated to the Government; and material amounts of interest paid.

Amortization. The periodic charge to income that results from a systematic and rational allocation of cost over the life of an intangible asset.

Bargain Purchase Option. A provision allowing the lessee the option of purchasing the leased property for an amount, exclusive of lease payments, which is sufficiently lower than the expected fair value of the property at the date the option becomes exercisable.

Betterments. A major cost incurred to extend or enhance the service potential (useful life potential) of a tangible asset with a component having superior performance capabilities.

Capital Expenditures. Costs incurred for new or used assets, additions to existing assets, or betterments or improvements to existing assets that are charged to asset accounts because they add to the total service-rendering ability of the asset.

Capitalized. All property meeting the following criteria:

- a. Be of a durable nature;
- b. Have a useful life of 2 or more years once it is placed into service, and

- c. Its initial acquisition cost must be \$25,000 or more, except for IUS where the initial acquisition cost must be \$100,000 or more.

Capital Lease. Leases that transfer substantially all the benefits and risks of ownership to the lessee.

Depreciation. The rational and systematic method of allocating the cost of an asset over its estimated useful life.

Devise. A will or clause of a will disposing of property.

Donated Property or Donations. Non-reciprocal transfers of assets or services from state, local, or foreign governments, individuals; or others not considered a related party to the Federal Government.

Estimated Useful Life. The normal operating life in terms of utility to the owner.

Excess Property. Personal property under the control of any Federal agency that is no longer required for that agency's needs, as determined by the agency head or designee.

Exchange. A reciprocal transfer between Government agencies that results in the acquisition of assets, services, or the satisfaction of liabilities.

Fair Value. The assets selling price in an arm's-length transaction (sale) between unrelated parties.

Full Cost. The costs of resources consumed that directly or indirectly contribute to an output, and the costs of identifiable supporting services provided by other responsibility segments within the reporting entity, and by other reporting entities. All direct and indirect costs to any part of the Federal Government of providing goods, resources, or services.

Heritage Assets. Property, plant, and equipment that are unique for one or more of the following reasons:

- a. Historical or natural significance;
- b. Cultural, educational, or artistic importance; or
- c. Significant architectural characteristics.

Impairment. A significant and permanent decline in the service utility of general PP&E, or expected service utility for construction work in process.

Implicit Interest Rate. The rate computed by the lessor and known to the lessee at the inception of the lease.

Incremental Borrowing Rate. The rate that, at the inception of the lease, the lessee would have incurred to borrow over a similar term (i.e., a loan term equal to the lease term) the funds necessary to purchase the leased asset.

Information Technology (IT) Equipment. Formerly known as Automated Data Processing (ADP) Equipment, includes central processing units, peripheral input and output devices, control units, and data entry machines.

Intangible Assets. Assets characterized by a lack of physical substance. Examples include patents and copyrights.

Internal Use Software (IUS). Software that is purchased from commercial vendors off-the-shelf, internally developed, or contractor-developed solely to meet internal or operational needs.

IT Configured Equipment. The IT unit or system that results from the integration of IT components. Although the individual component costs may not satisfy the capitalization threshold value, the final IT unit or system does satisfy the threshold value.

Lease. An agreement conveying the right to use property, plant, or equipment (land or depreciable assets or both) usually for a stated period of time.

Leasehold Improvements. Physical enhancements made to property by or on behalf of the property's lessee.

Lessee. One who rents property from another. In the case of real property, a lessee is also known as a tenant.

Lessor. A person or commercial entity that conveys property by lease. In the case of real property, a lessor is also known as a landlord.

Loaned Property. Personal property furnished to others on a temporary basis.

Multi-use Heritage Assets. Heritage assets whose predominate use is general Government operations.

Non-Accountable. Property having an acquisition cost that is below the threshold requirement for recording in the agency or staff office property management records. Personal property having an acquisition cost of less than \$5,000, and deemed not sensitive by the APMO is non-accountable. Real Property having an acquisition cost of less than \$25,000 is non-accountable.

Non-Capitalized. Assets purchased not meeting the Department's capitalization threshold.

Operating Lease. An agreement conveying the right to use property for a limited time in exchange for periodic rental payments. The Federal agency does not assume the risks of ownership of the asset.

Personal Property. All property other than real property, whether tangible or intangible. Examples of tangible personal property include: equipment, furniture and fixtures, motor vehicles, aircraft, and other hardware. Examples of intangible personal property include: copyrights, licenses, and patents.

Present Value. The present worth of future sums of money.

Real Property. Any interest of the United States in land and interest in land, buildings, and other structures, additions to buildings, nonstructural improvements, and fixed equipment whether an addition or replacement located thereon.

Retirement or Retired. The removal from service of long-lived assets, on other than a temporary basis, by sale, abandonment, recycling, or other disposal method. Retirement can occur before or at the end of the asset's useful life.

Salvage Value. The expected remaining value after an asset has been fully depreciated.

Service Utility. The usable capacity that at acquisition was expected to be used to provide service, as distinguished from the level of utilization, which is the portion of the usable capacity currently being used.

Stewardship. The Federal Government's responsibility for the general welfare of the nation in perpetuity.

Tangible. Assets characterized as having physical substance.

APPENDIX C

AUTHORITIES AND REFERENCES

FASAB, [Federal Financial Accounting Technical Release 5](#), *Implementation Guidance on SFFAS Number 10: Accounting for Internal Use Software*, May 14, 2001

FASAB, [Federal Financial Accounting Technical Release 9](#), *Implementation Guide for Statement of Federal Financial Accounting Standards 29: Heritage Assets and Stewardship Land*, February 20, 2008

FASAB, [Federal Financial Accounting Technical Release 14](#), *Implementation Guidance on the Accounting for the Disposal of General Property, Plant & Equipment*, October 6, 2011

FASAB, [Federal Financial Accounting Technical Release 15](#), *Implementation Guidance for General Property, Plant, and Equipment Cost Accumulation, Assignment, and Allocation*, September 26, 2013

FASAB, [Federal Financial Accounting Technical Release 16](#), *Implementation Guidance for Internal Use Software*, January 19, 2016

FASAB, [SFFAS Number 5](#), *Accounting for Liabilities of the Federal Government*, December 20, 1995

FASAB, [SFFAS Number 6](#), *Accounting for Property, Plant, and Equipment*, November 30, 1995

FASAB, [SFFAS Number 10](#), *Accounting for Internal Use Software*, October 9, 1998

FASAB, [SFFAS Number 29](#), *Heritage Assets and Stewardship Land*, July 7, 2005

FASAB, [SFFAS Number 35](#), *Estimating the Historical Cost of General Property, Plant, and Equipment*, October 14, 2009

FASAB, [SFFAS Number 44](#), *Accounting for Impairment of General Property, Plant, And Equipment Remaining in Use*, January 3, 2013

USDA, [AgPMR](#), *Agriculture Property Management Regulations*, Revision 1, 2016

USDA, [DR 1043-040](#), *Assignment of Responsibilities for Review and Oversight of Working Capital Fund Activities*, November 22, 2021

APPENDIX D

USDA ESTIMATED USEFUL LIFE RANGE FOR GENERAL PP&E ASSETS

Description of General PP&E Assets	Estimated Useful Life Range
IT Software (e.g., purchased off-the-shelf, contractor-developed, or internally developed)	5 – 8 Years
Machinery and Equipment (Other) – Capitalized, IT Hardware, Office Machines, Engineering Equipment	5 Years
Motor Vehicles and WCF Fleet Equipment (excludes Aircraft), Miscellaneous Motor Equipment	6 Years
Machinery and Equipment (e.g., Agricultural, Laboratory), Radio Communications Equipment	7 Years
Furniture and Fixtures, Attaché Residential Furniture and Fixtures, Telecommunications Equipment, Snow Telemetry Equipment	8 Years
Reproduction Machinery and Equipment (includes printing presses, engraving, lithographing, multi-graphing reproduction machines, and photo-reproduction equipment – excludes office copy making machines.)	9 Years
Aircraft	20 Years
Leasehold Improvements	Lesser of the life of the improvement or the remaining term of the lease
Improvements to Land	10 – 50 Years
Buildings, Improvements, and Renovations	15 – 30 Years
Other Structures and Facilities	15 – 50 Years